

Shoulder lows. I compared the lowest left shoulder low to the lowest right shoulder low. Performance improved only in bear markets when the left shoulder was below the right one.

Experience

I prefer to trade regular head-and-shoulders bottoms instead of the complex variety. Over the decades, I made only two trades in complex bottoms.

Table 40.11 Special Features

Description	Bull Market	Bear Market
Neckline slopes up, performance	45%	29%
Neckline slopes down, performance	49%	33%
Left shoulder above right, performance	47%	29%
Left shoulder below right, performance	47%	33%

Big Lots

The first trade was in Big Lots (BIG) in 2004, shown in [Figure 40.5](#).

After peaking in 2003, the stock began to slide and formed a complex head-and-shoulders bottom during the summer of 2004. I show that with two left shoulders (S), a central head (H), and two right shoulders (S). The neckline sloped downward, as the chart shows.

The breakout was upward (at A) and looked normal, but breakout volume was weak. I considered placing a stop below the right shoulder low but felt that location was too close (the first S in September).

I scored the chart pattern using my scoring system (see *Trading Classic Chart Patterns*, Wiley, 2002), and it was -2 . Scores below 0 tend to underperform.

- Lesson: If the scoring system has a score of 0 or below, either decide to abandon the trade or monitor it carefully.

The stock climbed to B and threw back to the breakout price at C. On that day I bought and made an entry near the day's low. Yippee!